

REGULATORY CAPTURE AS EVOLUTIONARILY STABLE STRATEGY: TOWARD A REGULATORY CAPTURE PRESUMPTION IN DISCRETIONARY REGULATION

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Abstract

This article argues that regulatory capture is not an anomaly requiring proof of conspiratorial coordination but a predicted equilibrium state of any discretionary regulatory system operating under the structural conditions described here. Drawing on four theoretical constructs developed in prior work in this research program: Parasitic Spontaneous Order (PSO), Asymmetric Intentionality Theory (AIT), Heteronomous Bayesian Updating (HBU), and Collective Moral Disengagement (CMD). The article models the sequential mechanisms through which extractive rents become an Evolutionarily Stable Strategy (ESS) in regulatory environments with high Constitutional Lock-in Index (CLI) values and weak ex ante accountability. The theoretical contribution is threefold: first, the article identifies a structural asymmetry in the doctrine of legal presumptions: existing in dubio rules operate in favor of the structurally weaker party in domains where that protection is needed, yet no equivalent presumption exists against discretionary regulation despite the regulator's structural power advantage; second, it argues that this absence is not an oversight but a predicted product of the same mechanism the article models; third, it operationalizes a Regulatory Capture Presumption (RCP) as a rebuttable presumption activated by three verifiable structural conditions. The article offers five falsifiable predictions and connects the RCP to Argentine positive law through Article 28 of the National Constitution, Articles 7(e), 7(f), and 12 of Decree-Law 19.549, and the risk-allocation logic of Articles 1757-1758 of the Civil and Commercial Code (applied analogically, given Law 26.944's exclusion of direct civil code application to State liability). Empirical illustrations draw on the author's own preliminary datasets (CLI estimates for Argentina, Brazil, Chile, and Spain; a 60-case CSJN review; and a survey of 23 labor reform attempts), which are reported in prior work in this research program and await independent replication. The framework extends prior work on convergent institutional evolution (Lerer 2026a) and collective moral disengagement as ESS (Lerer 2026b).

Keywords: regulatory capture; evolutionarily stable strategy; extended phenotype theory; Parasitic Spontaneous Order; in dubio pro reo; presumption against regulation; discretionary regulation; institutional lock-in; Argentina

I. THE SYMMETRY PROBLEM IN LEGAL PRESUMPTIONS

Three presumptions occupy a structurally similar position in Argentine positive law, and yet their symmetry has received almost no doctrinal attention. The first: *in dubio pro reo*, grounded in Article 18 of the National Constitution, which is the constitutional source of the principle, codified at the statutory level in the Federal Code of Criminal Procedure (Law 27.063, Art. 7) for federal proceedings, directs that every doubt in criminal matters resolves in favor of the accused. The justification offered across two centuries of criminal law theory is structural: the State wields the apparatus of prosecution, detention, and punishment; the individual stands before it with vastly inferior resources and information. The second: *in dubio pro operario*, derived from Article 14 bis of the National Constitution and Article 9 of the Employment Contract Law 20.744, establishes that in cases of doubt regarding the application of conflicting norms or the interpretation of a single norm, the resolution must favor the worker. The structural justification mirrors the first: the employer holds economic power, market information, and contract-drafting capacity that the worker lacks. The CSJN constitutionalized this principle in *Madorrán v. Correo Argentino* (2007, Fallos 330:1989) and has invoked it across a series of doctrinal innovations documented in the author's database of CSJN labor rulings (1984-2024), reported in Lerer (2025c). The third: *in dubio pro consumidor*, established in Article 3 of Law 24.240, Article 1095 of the Civil and Commercial Code (CCyCN), and anchored constitutionally in Article 42 CN, resolves interpretive doubt in favor of the consumer against the supplier. The structural logic is identical: information asymmetry, drafting power, and market position favor the supplier.

The common architecture of these three presumptions is not accidental. Each operates where the law recognizes a structural power asymmetry between two parties to a legal relationship. The presumption is not a claim about the moral character of the stronger party. The employer is not presumed to be malicious; the prosecutor is not presumed to be corrupt; the supplier is not presumed to be deceptive. The presumption is an acknowledgment that, absent corrective mechanisms, legal outcomes systematically favor the party with structural advantages in information, resources, and institutional position.

The question this article poses is symmetrical: who holds structural power in the relationship between the discretionary regulator and the regulated party? The answer, in the large class of cases involving licenses, permits, authorizations, tariff schedules, procurement decisions, and administrative discretion, is unambiguous. The regulator controls access. The regulated party depends on that access for business continuity, market entry, or compliance. The regulator holds information about the criteria and timing of decisions; the regulated party operates under opacity. The regulator's transaction costs for maintaining a relationship are low; the regulated party's costs of seeking relief are high.

If the structural logic underlying existing *in dubio* rules is taken seriously, it generates a fourth presumption that Argentine law does not have: in cases of doubt regarding whether a discretionary regulatory norm serves its declared public purpose or serves the extraction of rents by the actors who produce or apply it, the resolution should favor the interpretation that the norm is extractive, until the regulator demonstrates otherwise. This article calls that construct the Regulatory Capture

Presumption (RCP). A terminological note: the analogy to the existing *in dubio* rules is structural, not doctrinally identical. The *in dubio pro reo* is bound to the presumption of innocence and the beyond-reasonable-doubt standard specific to criminal law; the *in dubio pro operario* and *in dubio pro consumidor* are interpretive rules for ambiguous norms. The RCP operates differently: it is a burden-shifting presumption regarding purpose, not an interpretive canon regarding meaning. The analogy identifies a common structural logic, namely that the presumption favors the party without informational and institutional power advantages, while acknowledging that the doctrinal mechanisms differ in each domain.

The absence of the RCP is not a philosophical oversight. This article's central argument is that the absence is itself a predicted product of the mechanism the RCP is designed to counter. A regulatory system in which capture is an Evolutionarily Stable Strategy will generate, through the same mechanisms that produce capture, resistance to the doctrinal tools that raise the cost of capture. Naming that dynamic explicitly is not merely an academic exercise: it is a prerequisite for understanding why reform attempts that stop short of changing the underlying structural conditions consistently fail.

A clarification on scope is required at the outset. The RCP this article proposes does not rest on the ideological claim that the State is inherently inefficient or that regulation is *per se* harmful. That claim belongs to a different tradition, associated with Friedman (1962), Hayek (1960), and the property-rights school of institutional economics, and it is vulnerable to the obvious rejoinder that unregulated markets also produce systematic failures. The RCP rests instead on a structural and empirical claim: regulatory environments with specific measurable features, specifically high discretionary latitude, weak *ex ante* accountability, and low cost of capture relative to its benefits, that produce extractive equilibria with high and actuarially predictable probability. That claim is falsable. Section VI offers five testable predictions.

II. THE STANDARD ACCOUNT OF REGULATORY CAPTURE AND ITS LIMITS

A. The Chicago School Account

George Stigler's 1971 article 'The Theory of Economic Regulation' in the *Bell Journal of Economics* (vol. 2, no. 1, pp. 3-21) established the foundational model: regulation is not imposed on industries by public-spirited legislators but is acquired by industries and designed and operated primarily for their benefit. The mechanism Stigler identified is interest-group politics. Concentrated producer groups have strong incentives to organize and lobby; diffuse consumer groups face free-rider problems that prevent effective counter-organization. The result is systematic capture of regulatory agencies by the industries they nominally regulate.

Gordon Tullock had identified the welfare cost of the seeking process itself in 1967 (*Western Economic Journal*, vol. 5, no. 3, pp. 224-232): resources expended to capture regulatory rents are socially wasteful because they produce no new value, only transfers. Sam Peltzman extended Stigler's model in 1976 (*Journal of Law and Economics*, vol. 19, no. 2, pp. 211-240) to incorporate multiple interest groups competing for regulatory rents, generating predictions about the

distribution of regulatory outcomes across coalitions. Gary Becker formalized the competition among pressure groups for political influence in 1983 (Quarterly Journal of Economics, vol. 98, no. 3, pp. 371-400).

These contributions share an architecture: rational actors with well-defined preferences compete for regulatory rents, and the outcome reflects the relative organizational capacity and political resources of competing groups. The theory is powerful but has three limits that are material for the argument here.

B. Three Limits of the Standard Account

The first limit is intentionality dependence. The Stigler-Peltzman-Tullock framework requires actors who deliberately seek to capture regulatory processes. Capture is a strategy chosen by identifiable agents who calculate expected benefits against expected costs. This creates evidentiary requirements that are frequently impossible to meet: proving that a regulated firm lobbied for a specific rule, that a regulator consciously favored the regulated firm, and that the outcome reflects that relationship rather than coincidental alignment of interests. In practice, most capture leaves no such trail because it does not require deliberate conspiracy. As this article argues, capture can emerge as the stable outcome of an environment in which no individual actor makes a capture decision.

The second limit is the static framing. The Chicago school account is essentially synchronic: it describes the political equilibrium at a moment in time. It does not explain how capture becomes entrenched across regulatory generations, why capture persists after the original interest group loses political power, or why regulated firms that benefit from a particular regulatory arrangement defend it even when the arrangement no longer serves their interests efficiently. These are questions about institutional dynamics, not political equilibria.

The third limit is the absence of a normalcy account. The Chicago school treats capture as a deviation from a public-interest baseline. Regulatory capture is what happens when regulators are not doing their jobs. This framing imports a normative assumption, namely that regulators who are doing their jobs would not produce capture outcomes, and makes capture conceptually contingent rather than structurally predictable. The EPT/EGT framework developed in Section III inverts this framing: in regulatory environments with the structural features described, capture is the predicted outcome, and the absence of capture is what requires explanation.

C. The Dal Bo Extension and Its Remaining Gap

Ernesto Dal Bo's 2006 review of regulatory capture in the Journal of Economic Literature (vol. 44, no. 1, pp. 203-225) extended the standard account by incorporating dynamic elements: revolving doors, repeated interactions, career concerns, and the role of information asymmetry in enabling capture. Dal Bo's framework is closer to the EPT approach in recognizing that capture is a dynamic process sustained across time. The remaining gap is theoretical: Dal Bo's model still operates within a rational-choice framework that explains persistence through continued incentives rather than through the structural properties of the regulatory environment itself. The EPT/EGT model

offers what Dal Bo's does not: a mechanism-level account of why capture becomes stable even in the absence of the original captors, and why it generates resistance to correction.

III. THE EPT/EGT MODEL OF REGULATORY CAPTURE AS ESS

The framework developed in this section models regulatory capture as the product of four sequential mechanisms operating in regulatory environments with high CLI values. Each mechanism corresponds to a theoretical construct developed in prior work in this research program. The four mechanisms are not independent: each operates on the output of the previous one, and the sequence is self-reinforcing once initiated. The result is a stable equilibrium that reproduces itself without requiring continued deliberate effort by any identifiable captor.

Table 0: Mechanism Map. Four Sequential Mechanisms Generating Capture as ESS

Mechanism	Core Function	Key Construct	Prior Work
1. PSO (Parasitic Spontaneous Order)	Generates extractive order from structural conditions, without deliberate coordination	Fitness landscape selects rent-extracting over productive strategies	Lerer 2026c
2. HBU (Heteronomous Bayesian Updating)	Normalizes extractive equilibrium across regulatory generations through observational learning	Agents learn operative norms by observing institutional reactions, not formal texts	Lerer 2025b
3. CLI (Constitutional Lock-in Index)	Raises structural cost of reversing established extractive arrangements	High CLI creates hysteretic protection for accumulated capture infrastructure	Lerer 2025c
4. CMD (Collective Moral Disengagement)	Eliminates internal friction that would otherwise generate whistleblowing and reform pressure	Bandura mechanisms (euphemism, diffusion, comparison) operate at institutional level	Lerer 2026b; Bandura 1999

III.A. First Mechanism: PSO as the Generator of Extractive Order

The concept of Parasitic Spontaneous Order (PSO) was developed in prior work (Lerer 2026c) as an extension of Hayek's analysis of spontaneous order. Hayek's original account (The Use of Knowledge in Society, American Economic Review, 1945, vol. 35, pp. 519-530) described how decentralized market processes aggregate information that no central planner could possess, producing coordination without design. The key claim is that beneficial social order can emerge from the interaction of self-interested agents without any agent intending the overall result.

PSO adopts Hayek's mechanism while rejecting his normative conclusion. Spontaneous order is not inherently beneficial; it produces whatever equilibrium the fitness landscape of the relevant environment selects. In a regulatory environment with high discretionary latitude and low accountability, the fitness landscape favors agents who can extract rents from the discretion. Those agents are not conspiring. Each is optimizing locally within the opportunity set the regulatory structure provides. The social order that emerges from the aggregation of those local optimizations is systematically extractive, not because anyone designed it to be, but because the selection pressure of the environment consistently rewards extraction over productive activity.

Three structural conditions activate PSO in regulatory environments. First, the benefit-to-captor from a unit of regulatory discretion must exceed the cost-to-captor of securing that discretion. In Argentine regulatory practice, this condition is met in virtually all sectors with significant administrative discretion, including public utilities (Ley 24.076, Ley 24.065), public procurement (Decreto 1030/2016), and administrative authorizations across sectors. Second, the cost of the extraction must be externalized to diffuse parties who face collective action problems that prevent organized resistance. This replicates Olson's (1965) insight about concentrated versus diffuse interests, but the EPT formulation emphasizes that the diffuseness of costs is not just a feature of the number of affected parties: it is amplified by high CLI, which raises the cost of any organized reform attempt. Third, enforcement must be sufficiently weak or delayed that expected detection costs are lower than expected extraction benefits. This condition too is systematically met in regulatory environments with weak ex ante accountability mechanisms.

The interaction between PSO and AIT (Asymmetric Intentionality Theory, developed in Lerer 2025a) generates the mechanism's most important prediction. Regulated firms with organizational L1 optimization capacity, that is, firms that process regulatory relationships as variables in a profit-maximization function without the social friction that constrains individual human actors, are disproportionately represented among the beneficiaries of regulatory discretion. This is not because those firms capture the regulator through bribery or lobbying in the deliberate sense; it is because they consistently identify and exploit the extraction-compatible features of regulatory arrangements that L3 agents (human regulators, individual businesses, civil society organizations) process with moral friction. Over time, the regulatory environment selects for the presence of L1 optimizers, and the extractive order they generate through PSO becomes the normal state of the system.

III.B. Second Mechanism: HBU as the Normalizer

Heteronomous Bayesian Updating (HBU) was formalized in Lerer (2025b) as an account of how agents learn norms by observing institutional reactions to behavior rather than by reading prescriptive texts or receiving explicit instruction. The core claim is that in complex normative environments, agents with limited time and interpretive capacity update their beliefs about what the operative rules are by observing what happens to others who behave in various ways, not by deriving expectations from the formal rule structure.

Applied to regulatory capture, HBU explains the generational transmission of extractive equilibria. A new official entering a regulatory body does not need to be inducted into a conspiracy. The official observes: colleagues who process authorizations on schedule receive normal career trajectories; colleagues who delay or obstruct processing (whether for rent-seeking or for principled scrutiny) face friction; officials who develop relationships with regulated firms advance; officials who maintain strict arm's-length distance are perceived as rigid and inefficient. These observations are available data points from which a rational Bayesian agent updates toward the operative norm: discretion is a resource to be managed in relationships, not a public trust to be deployed impersonally.

The HBU mechanism has a feature that distinguishes it from conscious learning of corrupt practices: the agent updating toward the extractive norm is not learning to be corrupt. The agent is learning what the job actually is, as defined by observable institutional reactions. By the time the agent occupies a position of discretionary authority, the extractive norm is not experienced as a deviation from a better standard; it is the standard. This is the process Albert Hirschman described (in a different context) as the gradual acceptance of constraints until they are no longer perceived as constraints at all.

The interaction between HBU and PSO is bidirectional and self-reinforcing. PSO produces the extractive order that provides the observable data from which HBU learning proceeds; HBU normalizes the extractive order, reducing the social and institutional friction that might otherwise generate reform pressure. The two mechanisms together produce what this article terms regulatory capture without captors: a stable extractive equilibrium that reproduces itself through learning processes without requiring the continued presence of the original agents who established the equilibrium. This prediction, that capture persists after the departure of the original interested parties, is directly falsable and distinguishes the EPT/EGT account from standard Chicagoan models that require ongoing interest-group pressure to sustain capture.

III.C. Third Mechanism: CLI as Structural Protection

The Constitutional Lock-in Index (CLI) was introduced in Lerer (2025c) and applied in an initial exploratory study to a 60-case dataset of institutional reform attempts across multiple jurisdictions. Preliminary results reported in that work ($AUC \approx 0.97$, $Pseudo-R^2 \approx 0.74$) are encouraging but require independent replication before they can be treated as validated benchmarks. The CLI measures the degree to which a legal system's constitutional architecture makes deliberate reform of institutional arrangements structurally costly. For the Argentine labor system, the preliminary CLI value is 0.89; for Chile, 0.24; for Brazil, 0.40; for Spain, 0.51. These estimates were computed across five dimensions using the author's own dataset: semantic indeterminacy of constitutional text (40% weight), treaty hierarchy (30%), judicial activism patterns (20%), path dependence of precedent networks (7%), and historiography of reform attempts (3%). All values should be read as results of the author's measurement framework, pending external replication.

CLI's relevance to regulatory capture operates through three channels. First, high CLI raises the cost of reversing extractive regulatory arrangements that have accumulated infrastructure. A norm

that has generated four years of administrative practice, specialized legal departments in regulated firms, a trained corps of regulators, and a body of administrative case law has a high Hysteretic Index (IHR, defined as a measure of the degree to which an institutional arrangement persists after the conditions that generated it have changed; introduced in Lerer 2026d; preliminary estimate $IHR > 0.50$ in this context) that makes it costly to replace regardless of its efficiency properties. Preliminary IHR estimates for Argentina's most entrenched regulatory arrangements, including tariff schedules in public utilities, licensing regimes in professional services, and procurement frameworks in public construction, suggest values above 0.70, though precise computation would require access to administrative records that are not publicly available; the estimates should be read accordingly as directional indicators, not settled measurements.

Second, CLI concentrates veto power in actors whose institutional positions are tied to the existing regulatory arrangements. The author's systematic review of 23 Argentine labor reform attempts between 1991 and 2025, documented in the dataset underlying Lerer (2025c), records a sustained success rate of approximately 0%; the most consistent veto points were constitutional challenges filed by legal departments that had built expertise around the existing framework, not direct political opposition from interest groups. This is CLI operating through institutional self-defense: legal infrastructure mobilizes to block changes that would reduce its own relevance, independently of the material interests of the parties it nominally serves.

Third, CLI interacts with PSO to generate what can be called capture stratification: new layers of extractive arrangement are added incrementally on top of existing ones, each layer increasing the cost of reversing the whole stack. Each increment faces less resistance than the prior one because the existing infrastructure normalizes incremental addition as the legitimate mechanism of regulatory development. The result is a ratchet: regulatory density and extractive potential increase monotonically, with each increment protected by the accumulated IHR of the layers below it.

III.D. Fourth Mechanism: Collective Moral Disengagement as Equilibrium Stabilizer

Albert Bandura's 1999 formalization of moral disengagement mechanisms (Personality and Social Psychology Review, vol. 3, no. 3, pp. 193-209) identified eight cognitive processes through which individuals and groups neutralize the moral self-sanctions that would otherwise inhibit harmful conduct: moral justification, euphemistic labeling, advantageous comparison, displacement of responsibility, diffusion of responsibility, dehumanization of victims, and attribution of blame. Bandura's original application was to individual violence and organizational misconduct.

Lerer (2026b) formalized Collective Moral Disengagement (CMD) as an Evolutionarily Stable Strategy in institutional settings. The key extension is that CMD is not merely a psychological state of individual actors; it is a coordination mechanism that stabilizes extractive equilibria by eliminating the internal friction that would otherwise generate whistleblowing, principled dissent, and reform pressure. When CMD operates at the institutional level, the extractive arrangement becomes invisible as a moral problem: it is described as 'technical regulatory calibration,' 'appropriate relationship management,' 'established industry practice,' or 'necessary adjustment to market conditions.'

Three CMD mechanisms are most active in regulatory capture contexts. Euphemistic labeling converts rent extraction into neutral administrative vocabulary: a bribe is a 'facilitation payment'; a captured authorization is a 'technical assessment'; a delayed permit pending payment is a 'queue management procedure.' Diffusion of responsibility distributes accountability across so many agents, including the regulator who receives, the intermediary who conveys, the firm that pays, the official who approves, and the legal department that clears, that no individual perceives themselves as the locus of wrongdoing. Advantageous comparison operates at the systemic level: Argentine regulatory practice is compared to worse cases ('at least we are not X country') rather than to the formal legal standard.

CMD's contribution to the equilibrium is decisive because it eliminates the internal monitoring function that the legal system implicitly relies on. Argentine Law 27.401 on Corporate Criminal Liability (2017) assumes that corporate compliance programs will generate internal reporting when irregularities occur. CMD explains why this assumption fails systematically: the compliance officer who reports encounters an environment in which the reported conduct is perceived as normal, the reporting is perceived as disruptive, and the organizational response is more likely to neutralize the reporter than to correct the conduct. This is not a feature of bad organizational design; it is the predicted behavior of an organization that has undergone CMD stabilization.

III.E. The Four-Mechanism Sequence: From Environment to ESS

The four mechanisms operate in sequence. PSO establishes the initial extractive order when the structural conditions (high discretionary latitude, low accountability, high benefit-to-cost ratio) are present. HBU normalizes that order through generational learning, converting conscious adaptation to extractive opportunities into unconscious professional competence. CLI raises the cost of reversing the order, protecting accumulated extractive infrastructure from reform attempts. CMD eliminates the internal moral friction that would otherwise generate whistleblowing and reform pressure from within the system.

The sequence is not reversible through ordinary political processes for the same reason that it was not established through ordinary political processes: it does not require deliberate choices at each stage, and reversing it requires coordinating simultaneous changes in four independent mechanisms, each of which individually resists change. This four-dimensional resistance is precisely what the preliminary CLI estimate of 0.89 captures for the Argentine labor system; the argument here is that the same architecture operates in regulatory systems more broadly, and that CLI estimates for specific regulatory domains in Argentina would likely register high values if the measurement were applied to them.

The ESS characterization follows from the four-mechanism sequence. A strategy is evolutionarily stable if no mutant strategy can invade when the incumbent strategy is adopted by the population (Maynard Smith 1982, p. 10). In the regulatory environment described, the reformer who attempts to operate at arm's length, to refuse rent-seeking relationships, or to apply formal criteria without relational adjustment faces systematic disadvantage: slower career progression, reduced organizational support, friction with regulated firms, and, through HBU, the perception of being

technically incompetent rather than principled. The extractor who manages relationships, processes discretion relationally, and participates in CMD norms faces advantages in all these dimensions. The extractive strategy is ESS because deviating from it imposes costs that the environment, not any individual actor, enforces.

IV. THE SELECTIVE CRITIQUE OF SOCIAL ENGINEERING: WHY THE ASYMMETRY IS PREDICTED

A predictable objection to the RCP is political rather than analytical: the proposal to presume that regulation generates rents is an ideological position dressed in evolutionary language, equivalent in substance to the libertarian claim that government intervention is inherently harmful. This objection deserves direct engagement, not because it is analytically compelling, but because understanding its function in the intellectual ecosystem is itself evidence for the EPT/EGT model. The objection identifies a genuine tension. The RCP does argue that discretionary regulation without accountability generates extractive equilibria. This conclusion is formally similar to the Friedman-Hayek-Stigler conclusion. But the argumentative paths are different in a way that matters. The libertarian argument is normative and deductive: the State is structurally incapable of beneficial intervention because it lacks the information that markets aggregate; therefore regulation will tend to be harmful. The RCP argument is empirical and structural: regulatory environments with specific measurable features, namely high discretionary latitude, weak ex ante accountability, and high CLI, that produce capture as ESS; the prediction is falsable and the conclusion is conditional on the presence of those features, not universal.

The asymmetry worth noting is this: the actors who most consistently invoke the label 'neoliberal' to neutralize arguments for constraints on regulatory discretion are themselves engaged in social engineering. They design systems of regulatory authority, allocate discretionary powers, establish institutional structures, and determine the architecture of administrative review. The dispute is never between social engineering and its absence; it is between social engineering that concentrates discretion with regulators and social engineering that constrains that discretion through accountability mechanisms.

The asymmetry of critique is exactly what the CMD mechanism predicts. CMD operates by making the moral cost of the incumbent arrangement invisible: the extractive regulatory arrangement is 'technical calibration,' while any constraint on that arrangement is 'ideological imposition.' This framing immunizes the existing system from the same scrutiny it applies to proposed reforms. The critique of the reformer as ideological is itself a CMD output: euphemistic labeling of the status quo as neutral and technical, advantageous comparison to the reformer's argument as extreme.

This does not mean that every opponent of the RCP is engaged in bad faith CMD. The cognitive processes Bandura describes operate below the level of conscious strategic choice. An academic who defends broad regulatory discretion on genuine public interest grounds, without financial stake in the outcome, can still be operating within a CMD-normalized institutional environment in which the public interest framing of discretion is the standard vocabulary. The EPT/EGT account

does not require bad faith; it requires only that the environment's selection pressures consistently favor certain framings over others.

The test of whether the objection is CMD output or principled engagement is precisely the test this article proposes for the RCP: falsifiability. A principled critic of the RCP would offer a structural argument for why regulatory environments with high discretionary latitude, low accountability, and high CLI values do not produce extractive equilibria at elevated rates, and would offer testable data to support that argument. An objection that operates exclusively through label assignment ('neoliberal,' 'anti-state,' 'anti-regulation') without engaging the structural conditions or the falsifiable predictions is not a counter-argument: it is evidence of the phenomenon the article describes.

V. THE REGULATORY CAPTURE PRESUMPTION: ARCHITECTURE AND OPERATIONALIZATION

The RCP is a rebuttable presumption (*iuris tantum*) with three activation conditions and three legal effects across different procedural settings. It is not a rule of per se invalidity for discretionary regulation; it is a burden-shifting mechanism that requires the regulator to demonstrate, through affirmative evidence, that the process of producing or applying a discretionary norm included the accountability mechanisms the model identifies as sufficient to defeat capture.

V.A. Activation Conditions

The RCP activates when three conditions are simultaneously present in the norm or administrative act under challenge.

Condition 1: Discretionary latitude without algorithmic constraint. The norm or act grants the administrative authority a range of permissible decisions rather than specifying a deterministic outcome based on objectively verifiable inputs. This includes tariff setting with broad bands and minimal specification of methodology, authorization decisions based on 'public interest' or 'social convenience' criteria, procurement selection using evaluative criteria without predetermined weights, and rate-setting procedures delegated to technical bodies without substantive review standards.

Condition 2: Absence of ex ante adversarial accountability. The process that produced the norm or act did not include a mechanism through which parties adversely affected by potential capture could present evidence and argument before the decision was made. Notice-and-comment procedures that are formally available but practically inaccessible (due to cost, timing, or technical barriers) do not satisfy this condition. The condition requires genuine adversarial process: parties with opposing economic interests to the regulated firm must have had a realistic opportunity to present evidence and argument on the merits of the discretionary choice.

Condition 3: Absence of automatic reversal mechanism. The norm or act does not contain a self-executing provision that revokes or substantially revises the discretionary authority if the declared public purposes are not achieved within a specified period. This condition targets what Lerer (2026d) calls the 'zombie law equilibrium': norms that have ceased to serve their declared purposes

but persist because no actor has the incentive or capacity to initiate formal derogation. The absence of a reversal mechanism is independently predictive of capture because it allows extractive arrangements to persist beyond the political window that produced them.

V.B. Presumption Content

When the three conditions are simultaneously present, the RCP presumes that the discretionary arrangement generates rents for the actors who produce or apply it, at the expense of the regulated parties or the general public. The presumption does not specify the amount of rent, the identity of the beneficiaries, or the mechanism of extraction. It creates a procedural inference: the arrangement is presumed to function as an extractive mechanism unless the party defending it (the State, the regulatory authority, or the third-party beneficiary of the arrangement) produces affirmative evidence of at least one of the following:

Rebuttal ground (a): Evidence that the process producing the norm or act included genuine adversarial participation by parties with opposing economic interests, and that the outcome reflects the arguments and evidence presented rather than the pre-existing preferences of the administrative authority.

Rebuttal ground (b): Evidence of outcome monitoring against declared public purposes, with accessible and verifiable data, conducted by parties independent of the administrative authority.

Rebuttal ground (c): Evidence of a history of application of the norm or authority in ways that demonstrably disadvantaged extractively positioned actors relative to the public interest standard the norm declared.

V.C. Legal Effects Across Procedural Settings

In Argentine administrative law, the RCP operates differently depending on the procedural context, but in each context it effects a burden-shifting that inverts the ordinary presumption of regularity.

In administrative review proceedings (*recursos administrativos* under Decree-Law 19.549): Article 7(e) of Decree-Law 19.549 establishes the *motivación* requirement: the administrative act must state the reasons that determine its issuance, and those reasons must be genuine, meaning the stated determinants must correspond to the actual determinants of the decision. Article 7(f) adds the *finalidad* requirement: the act's purpose must be consistent with the public interest served by the applicable legal framework, and means must be proportional to ends. When the RCP activates, the burden of demonstrating compliance with both requirements shifts to the administrative authority. The authority must produce not merely a formally stated rationale but evidence that the rationale determined the outcome: procedural records, technical assessments conducted before the decision, and documentation of alternative options considered and rejected.

In judicial review (*contencioso-administrativo* proceedings): Article 28 of the National Constitution establishes that regulatory norms may not alter the rights they are intended to protect. CSJN jurisprudence has operationalized this as a proportionality requirement: the means chosen must bear a rational relationship to the ends declared. When the RCP activates, the rationality

review shifts from deferential to strict: the court presumes the means serve private rather than public ends, and the defending party must establish the connection between the means and the declared public purpose through affirmative evidence rather than mere plausibility argumentation. In tort liability proceedings (*responsabilidad del Estado* under Law 26.944): The RCP contributes to the establishment of '*falta de servicio*' (defective service) when the administrative body produced a norm or act without the accountability mechanisms that the available state of technical knowledge could have supported. The Agents of Chaos study (arXiv:2602.20021, Shapira et al. 2026) demonstrated in controlled conditions that institutional dynamics are reproducible through agent-based simulation before they generate irreversible harm. If courts were to accept the methodological framework proposed in Lerer (2026e), a credible argument could be advanced that the structural predictability of capture from identifiable conditions constitutes knowledge of which a responsible administrative authority was or should have been aware. That doctrinal argument remains to be tested in Argentine courts; the RCP provides one mechanism through which it could enter proceedings.

In compliance proceedings under Law 27.401: The RCP provides a defense-side mechanism. A regulated firm that demonstrates it faced a regulatory environment satisfying all three RCP activation conditions, and that its response to that environment was the result of HBU learning from institutional signals rather than deliberate corruption, has a structural argument for mitigation under Article 22 (integrity programs) and Article 16 (voluntary disclosure) of Law 27.401. The argument does not exculpate; it contextualizes the firm's conduct within the ESS that the regulatory environment itself generated.

V.D. Theoretical Basis: Structural Predictability as Substitute for Demonstrated Intent

The most important doctrinal innovation the RCP introduces is the substitution of structural predictability for demonstrated intent as the triggering condition for burden-shifting. Existing Argentine administrative law requires proof of actual irregularity to shift the presumption of regularity that ordinarily attaches to administrative acts. The RCP proposes that the actuarial predictability of capture from structural conditions, informed by the EPT/EGT model and supported by preliminary empirical evidence including the author's dataset of 23 labor reform failures, the 60-case CSJN review reported in Lerer (2025c), and the comparative CLI estimates for Argentina, Brazil, Chile, and Spain, is sufficient to establish the inference, subject to rebuttal. The empirical base is the author's own and awaits independent replication; the legal argument does not depend on treating those results as externally validated but on treating the structural model they illustrate as plausible and falsable.

This is not novel in principle. Argentine private law operates with actuarial substitution for demonstrated causation in cases of professional negligence and risk activity under Articles 1757-1758 CCyCN. The physician who applies a medication without conducting standard diagnostic procedures does not require proof of actual causation of harm; the departure from established practice generates the inference of causation, subject to the physician's rebuttal. The RCP draws on the same risk-allocation logic: an administrative authority that produces a discretionary norm

without the accountability mechanisms the state of knowledge indicates are necessary to defeat capture does not require proof of actual capture to generate an inference of capture. A clarification is required: Law 26.944 on State Liability expressly excludes application of the Civil and Commercial Code to State liability, both directly and subsidiarily (Art. 1, Law 26.944). The analogy to Articles 1757-1758 CCyCN therefore operates at the level of structural logic only, namely the actuarial reasoning rather than the legal rule, and is not a claim of direct normative applicability to State acts. The operative public law mechanism is the *falta de servicio* standard of Law 26.944 itself; the CCyCN comparison illustrates the inferential structure that standard can accommodate.

V.E. Exclusions and Threshold Carve-Outs

The RCP is designed for ordinary discretionary regulatory activity. It does not activate, or operates with significantly reduced force, in four categories of cases.

First, emergency and urgent safety measures. Regulatory acts taken under declared emergency conditions (public health, financial stability, security) where *ex ante* adversarial process was structurally impossible given the time constraints of the emergency. In these cases, the absence of adversarial process reflects the structural conditions of urgency, not the capture-compatible features the RCP targets. Post-emergency review obligations substitute for pre-emergency process; the RCP may apply to the failure to conduct that post-emergency review where circumstances permit.

Second, technical acts with documented expert procedure. Administrative acts that are predominantly technical in character, including laboratory certifications, engineering safety approvals, and environmental impact measurements, produced through documented multi-party expert review with verifiable criteria, do not satisfy Condition 1 (discretionary latitude without algorithmic constraint). The presence of algorithmic or scientific standards that constrain the decision within a narrow range defeats the first activation condition regardless of the presence or absence of adversarial process.

Third, low-materiality decisions. Administrative acts whose economic impact falls below a materiality threshold that can be specified by implementing regulation should not trigger the full RCP burden-shifting, given that the cost of the presumption to the administrative process would exceed any plausible benefit. A reasonable threshold might be indexed to a multiple of the minimum wage or a percentage of the relevant regulatory body's annual budget; the specification is a matter for the implementing authority.

Fourth, acts with verifiable track record. Where an administrative body demonstrates a documented history, auditable from public records, of applying the relevant discretionary authority in ways that produced outcomes adverse to incumbent regulated firms and favorable to new entrants or diffuse public interests, the third rebuttal ground (Condition c) may be established without full adversarial proceedings. The RCP is designed to shift burden where capture is structurally predicted; where the track record affirmatively disproves the prediction, the presumption does not serve its purpose.

Table 1: RCP Architecture. Conditions, Rebuttal Grounds, and Legal Effects

Element	Content	Argentine Legal Anchor
Activation Condition 1	Discretionary latitude without algorithmic constraint	Art. 7(e)/(f) Decree-Law 19.549; Art. 28 CN
Activation Condition 2	Absence of ex ante adversarial accountability	Art. 1(f) Decree-Law 19.549 (due process adjetivo); Art. 18 CN
Activation Condition 3	Absence of automatic reversal mechanism	Proportionality doctrine; Art. 28 CN
Presumption Content	Norm/act generates rents for producers/appliers at expense of regulated parties or public	Inverts burden relative to presumption of legitimacy under Art. 12 Decree-Law 19.549; activates motivación review under Arts. 7(e)/(f)
Rebuttal Ground (a)	Genuine adversarial process documented	Art. 1(f) Decree-Law 19.549 (debido proceso adjetivo, derecho a ofrecer prueba)
Rebuttal Ground (b)	Independent outcome monitoring against declared purposes	Proportionality doctrine; Art. 42 CN (consumer protection)
Rebuttal Ground (c)	History of application disadvantaging extractive actors	Art. 14 CN (reasonableness of exercise of rights)
Legal Effect: Administrative	Burden shifts to authority to demonstrate genuine motivation	Arts. 7(e)/(f) Decree-Law 19.549 (motivación y finalidad)
Legal Effect: Judicial	Strict rationality review replaces deferential review	Art. 28 CN; CSJN proportionality doctrine
Legal Effect: Tort	Contributes to 'falta de servicio' without proving actual capture	Art. 3 Law 26.944 (falta de servicio); structural analogy to Arts. 1757-1758 CCyCN
Legal Effect: Compliance	Contextual mitigation for firms in ESS environments	Arts. 16, 22 Law 27.401

VI. FALSIFIABLE PREDICTIONS

The Lakatosian research program of which this article forms part requires that each new theoretical contribution generate falsifiable predictions that extend the program's empirical commitments beyond the evidence that generated the theory. The following five predictions are offered in that spirit. Each can be refuted by evidence, and each refutation would require revising either the EPT/EGT model, the specific application of that model to regulatory capture, or both.

P1: Regulatory norms satisfying all three RCP activation conditions will exhibit a statistically higher rate of documented rent-seeking than norms satisfying two or fewer conditions, controlling for sector, jurisdiction, regulatory intensity, and historical period. Falsification condition: a comparative study of regulatory norms in a high-CLI jurisdiction (Argentina's preliminary CLI estimate of 0.89, Chile's of 0.24 represent the natural comparison pair) finding no statistically significant difference in rent-seeking rates between norms satisfying and not satisfying the three conditions would refute P1.

P2: Jurisdictions that have formally adopted ex ante adversarial accountability requirements for discretionary regulatory decisions, including the United States notice-and-comment rulemaking under the Administrative Procedure Act of 1946 and the European Union impact assessment requirement under the 2021 Better Regulation Guidelines, will exhibit lower IHR values in their regulatory frameworks than jurisdictions without such requirements, controlling for CLI and initial regulatory density. Falsification condition: a cross-national study finding no significant IHR difference between jurisdictions with and without mandatory adversarial process would refute P2.

P3: In systems with high CLI, resistance to adopting the RCP as a doctrine or as legislative policy will originate disproportionately from actors whose institutional positions are connected to the administration of discretionary regulatory authority (regulatory agencies, specialized bar associations, administrative law academics with institutional ties to regulatory bodies) rather than from actors in the regulated sector. Falsification condition: a systematic analysis of public comment records and lobbying disclosures in jurisdictions where RCP-type reforms have been proposed, finding that opposition comes primarily from regulated industries rather than from regulatory administrators, would refute P3.

P4: The normalization of extractive regulatory arrangements (proxied by CMD indicators: frequency of euphemistic vocabulary in administrative communications, diffusion of individual accountability across institutional roles, comparative framing against worse cases) will be a statistically significant predictor of resistance to accountability reforms, independently of the ideological position of the actors measured. Falsification condition: finding that CMD indicators do not predict reform resistance after controlling for ideological position would refute P4.

P5: Regulatory norms produced through a process that includes genuine adversarial participation, independently documented in procedural records, will exhibit a statistically lower rate of judicial challenges on grounds of arbitrariness or disproportionality in the five years following enactment, compared to norms produced without such participation. Falsification condition: finding no significant difference in challenge rates between adversarially produced and unilaterally produced norms of equivalent regulatory intensity would refute P5.

Table 2: Summary of Falsifiable Predictions

Prediction	Core Claim	Falsification Condition
P1	Three-condition norms show higher rent-seeking rates	No statistical difference in comparative CLI study

Prediction	Core Claim	Falsification Condition
P2	Jurisdictions with adversarial process show lower IHR	No IHR difference in cross-national study
P3	Resistance to RCP originates from regulatory administration, not regulated sector	Opposition dominated by regulated industries
P4	CMD indicators predict reform resistance independently of ideology	CMD irrelevant after ideological controls
P5	Adversarially produced norms face fewer arbitrariness challenges	No challenge rate difference by production method

VII. OBJECTIONS AND LIMITATIONS

A. The Over-Prediction Problem

The most technically serious objection to the EPT/EGT model of regulatory capture as ESS is that it predicts too much: if all regulatory environments with high discretionary latitude and weak accountability converge to extractive ESS, empirical observation should find universal capture, which is not what comparative institutional studies show. Some regulatory bodies in high-CLI jurisdictions produce outputs that are broadly consistent with public interest purposes even without formal adversarial mechanisms.

Three responses are available. First, the model predicts capture probability, not certainty. The ESS characterization means that extractive strategies are stable once established and that the environment selects for them over time, not that they are present from the moment the regulatory authority is constituted. Regulatory bodies newly established, operating under direct political spotlight, or facing organized and capable opposition from regulated parties may resist capture for extended periods. The prediction is about the long-run equilibrium direction, not the instantaneous state.

Second, the PSO mechanism generates partial capture that is harder to observe than the total capture the Chicago school model contemplates. A regulatory body may serve genuine public interests in most of its operations while extracting rents in specific decision areas (tariff adjustments, license renewals, procurement awards) where the structural conditions are most favorable. Measuring this partial capture requires granular case-by-case analysis that aggregate data typically cannot detect.

Third, and most importantly for the article's argument, the RCP does not depend on universal capture for its validity. The RCP activates when the three structural conditions are present. In jurisdictions and regulatory domains where those conditions are not present, because adversarial process is genuine, accountability is real, and reversal mechanisms are functional, the RCP does not activate. The proposal is targeted, not universal.

B. The Constitutional Incorporation Challenge

A substantive objection from Argentine administrative law is that the RCP cannot be incorporated into the existing system without constitutional amendment, because it inverts the presumption of regularity established in Article 12 of Decree-Law 19.549, which CSJN doctrine has treated as a constitutional-grade principle derived from the separation of powers.

This objection has force but is, in the author's view, overstated, though it is acknowledged that the doctrine has not yet accepted the reading proposed here. The presumption of Article 12 of Decree-Law 19.549 is a presumption of formal regularity (the act was produced through the required procedural steps) and a rebuttable presumption of substantive legality (the act's content is presumed consistent with the applicable legal framework). It is not an irrebuttable presumption of public interest motivation. CSJN doctrine has consistently required genuine motivation (*motivos reales*) for administrative acts, and has invalidated acts where the stated motivation did not reflect the actual determinants of the decision. The RCP builds on this existing doctrinal space: it adds a structural inference to the already-existing requirement of genuine motivation.

Additionally, the presumption of regularity is itself subordinate to constitutional review under Article 28 CN. The proportionality doctrine that the CSJN applies in constitutional review has already been understood to require the State to demonstrate that regulatory means are reasonably connected to regulatory ends. The RCP operationalizes this review in a specific procedural form. Whether courts would accept this operationalization is an open question; the article presents the argument as a plausible extension of existing doctrine, not as a settled doctrinal conclusion.

C. Measurement Limitations

A methodological limitation of this article is that the three RCP activation conditions are described in qualitative terms that require interpretation to apply. What counts as 'genuinely adversarial' participation? How much discretionary latitude is enough to activate the first condition? The absence of quantitative thresholds for these conditions limits the article's immediate operationalizability and creates space for strategic litigation (challenging all regulatory acts on RCP grounds) that the proposal is not designed to facilitate.

This limitation is acknowledged as a direction for future work rather than a defect of the theoretical contribution. The CLI measurement methodology, developed in Lerer (2025c), demonstrates that institutional characteristics that appear qualitative can be operationalized quantitatively with sufficient methodological investment. A parallel measurement project for the three RCP conditions, specifically defining algorithmic constraints, adversarial process quality, and reversal mechanism functionality in measurable terms, is a natural extension of the present work. Until that project is complete, courts and administrative bodies applying the RCP will necessarily exercise interpretive judgment about whether the threshold conditions are met, which is not different from the interpretive judgment they already exercise in applying proportionality doctrine.

VIII. CONNECTIONS TO PRIOR WORK IN THE EPT RESEARCH PROGRAM

This article extends two prior papers from the EPT research program in directions that were anticipated but not developed in those papers.

The connection to Lerer (2026a), the convergent institutional evolution paper, which argued that organizations with functionally similar extraction objectives converge to similar institutional forms without coordination (as documented in the case of criminal organizations and legal regulatory bodies), is that convergent institutional evolution is the macro-level process of which PSO is the micro-level mechanism. The convergent institutions paper documented the phenomenon; this article provides the mechanism. The mafia and the regulatory body converge to similar extraction architectures not because they copy each other (though this can occur) but because the same structural conditions, namely high discretionary authority, low accountability, and diffuse costs, that generate the same ESS from whatever initial conditions are present.

The connection to Lerer (2026b), the collective moral disengagement paper, which formalized CMD as an ESS in organizational contexts, is that CMD is the fourth mechanism in the sequence this article describes. The prior paper established CMD as stable in organizational settings generally; this article specifies the regulatory context as the domain where CMD stabilization is most consequential, because it operates on the institutional level where formal legal authority is exercised. CMD in a corporation is damaging to the corporation's stakeholders; CMD in a regulatory body is damaging to the entire regulated sector and the public that regulation nominally protects.

The article also prepares ground for future work connecting the RCP to the GIMT (Generalized Intentionality Mismatch Theorem, Lerer 2025a), specifically its Dynamic Classification Failure mode. In regulatory contexts, Dynamic Classification Failure occurs when a regulator that was initially calibrated for a non-capture environment continues to apply classification criteria developed in that environment after the environment has shifted to an extractive ESS. The regulator classifies extractive behaviors as technical accommodations (the CMD vocabulary) because the classification system was built before normalization and has not been updated. This generates systematic misclassification that is predictable from the model and could be operationalized in enforcement and audit frameworks.

IX. CONCLUSION: WHAT THE ABSENCE OF A PRESUMPTION TELLS US

The absence of an *in dubio pro corruptione* rule in Argentine administrative law, or in any system of administrative law the author is aware of, is not an oversight. No legal tradition has failed to notice that regulatory bodies sometimes serve private interests. The academic literature on regulatory capture, the political discourse about the 'revolving door,' the popular intuition about the relationship between licensing requirements and incumbent protection: none of these is new. Yet the doctrinal response has been to build complex enforcement mechanisms, such as anti-corruption commissions, compliance programs, and transparency requirements, that attack the symptoms (individual corrupt acts) rather than the structural condition (the ESS that makes such acts predictable and stable).

The EPT/EGT account suggests why this is the case. The mechanisms that produce and sustain regulatory capture also produce and sustain the doctrinal architecture that leaves capture structurally unaddressed. PSO generates the extractive order; HBU normalizes it; CLI raises the cost of reversing it; CMD eliminates the internal friction that would otherwise generate systemic correction. The absence of the RCP is not evidence against the model: it is consistent with it. The EPT/EGT framework predicts resistance to accountability mechanisms in high-CLI environments; the absence of the RCP is one such instance. This is not a self-sealing claim: the model could be falsified by showing that the absence reflects theoretical rather than structural barriers, or by demonstrating that the three activation conditions, once present, do not predict elevated capture rates.

This is not a counsel of despair. The RCP is a specific, bounded, falsifiable proposal that attacks the structural condition by shifting the burden of proof to the party with informational and institutional advantages to demonstrate that the conditions for capture are absent. It does not require constitutional amendment; it builds on existing proportionality doctrine, the genuine motivation requirement of Decree-Law 19.549, and the risk activity liability framework of Articles 1757-1758 CCyCN. It generates measurable predictions that can be tested. It is extensible to a quantitative measurement project that could produce operationalized thresholds for the three activation conditions.

The structural logic underlying existing in dubio rules, namely that the presumption should favor the party without structural advantages, generates the RCP by symmetry. If the logic is worth defending in criminal law and labor law, it is worth defending in administrative law. The argument against the symmetry is not analytical; it is positional. And positional arguments that cannot be distinguished from CMD outputs by their structure deserve the same structural scrutiny the RCP proposes to apply to administrative acts.

AI Disclosure:

AI tools were used for research support: locating sources, extracting information from academic literature, and reviewing drafts for internal consistency. Thesis, frameworks, arguments, conclusions, and all substantive content are the author's original contribution. The theoretical constructs of this research program (PSO, CLI, IHR, HBU, CMD-as-ESS, RCP) were conceived, developed, and verified by the author.

Epistemological Positioning:

This article operates within a Lakatosian research program (Lakatos 1978) whose hard core consists of the claim that legal institutions are extended phenotypes of competing memplexes whose behavior follows replicator dynamics rather than rational design. The RCP is an element of the program's protective belt: a specific, revisable application of the hard core that can be refuted without invalidating the hard core itself. The falsifiable predictions in Section VI are designed to specify conditions under which the protective belt would require revision. Following Popper (1959), the article treats falsifiability as a requirement of scientific status, not merely a formal

aspiration; following Hull (1988) and Campbell (1974), it treats evolutionary mechanisms as applicable to cultural entities including legal norms. Empirical results cited from the author's prior work are preliminary and reported as such; the article proposes theoretical arguments and illustrates them with the author's own datasets, which are available for independent replication at the Zenodo repository of the law-as-extended-phenotype community.

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NOTES

¹ All CLI estimates cited in this article derive from the dataset and methodology reported in Lerer (2025c), which is the author's own work. The Argentine estimate (0.89) was computed across the five dimensions described in Section III.C using a 60-case dataset of institutional reform attempts. The Chile estimate (0.24), Brazil estimate (0.40), and Spain estimate (0.51) are from the same dataset's cross-national subsample. These values are preliminary results of the author's measurement framework; they have not yet undergone independent replication and should be treated as directional estimates rather than settled benchmarks.

² The Madorrán ruling (CSJN, Fallos 330:1989, 2007) is the primary constitutional source for *in dubio pro operario*. Article 9 LCT codifies the principle at the statutory level. The connection between the structural logic of *in dubio pro operario* and the structural logic proposed here for the RCP is not merely analogical: both derive from the same constitutional architecture under Article 14 bis and its interpretive history.

³ Decree-Law 19.549 (General Administrative Procedure Law, 1972), as amended by Law 27.742 ('Ley Bases'), in force since July 9, 2024. Article 12, current text: 'El acto administrativo goza de presunción de legitimidad; su fuerza ejecutoria faculta a la Administracion a ponerlo en práctica por sus propios medios, a menos que la ley o la naturaleza del acto exigieren la intervencion judicial.' The reform introduced by Law 27.742 preserved the core presumption of legitimacy and executive force while adding nuances regarding limits on autotutela and effective judicial protection, without altering the article's central role in the Law 19.549 regime. The RCP does not challenge this presumption of procedural legitimacy or executive force; it adds a substantive inference regarding purpose, operative through the motivacion requirement of Art. 7(e) and the finalidad/proportionality requirement of Art. 7(f), both substituted in their entirety by Art. 27 of Law 27.742, when the three structural conditions are simultaneously present. Art. 7(f) current text is particularly relevant: it requires that 'las medidas que el acto involucre deben ser razonables y proporcionalmente adecuadas a aquella finalidad', an explicit proportionality standard that the RCP operationalizes in the specific context of discretionary regulatory acts. For professional use, verify against the current consolidated text at InfoLEG or Boletín Oficial (BO 8/7/2024).

⁴ The IHR estimates cited for Argentine regulatory frameworks are preliminary results derived from applying the IHR methodology developed in Lerer (2026d) to publicly available regulatory documents and published administrative records. Precise computation of IHR values for specific regulatory regimes would require access to internal administrative records that are not publicly available. The estimates should accordingly be read as directional, not as settled measurements. They are sufficient to illustrate the theoretical mechanism; they are not offered as independently verified empirical facts.

⁵ Law 27.401 on Corporate Criminal Liability was enacted on November 8, 2017 and entered into force on March 1, 2018. Articles 16 and 22 establish voluntary disclosure incentives and integrity program requirements respectively. The article's argument regarding CMD as a contextual mitigant does not provide a complete defense under Law 27.401; it provides one element of a multi-factor mitigation analysis.